



An Overview of the Modern Boardroom



Coming Up:

Key Lessons You'll Take Away

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Understanding the Board of Directors

02

The Boardroom Seat : Who qualifies and who exits

03

The 21st-Century Boardroom

04

When Things Go Wrong – Boardroom Failures

05

Directors & KMP : Officer In Default and D&O Insurance



Let's Start With You

Before we dive in, let's hear from the room. Your experiences and perspectives will shape our conversation today.



Your Board Experience

How many of you have served on a board before, in any capacity?



Skills That Matter

In your experience, what's one skill that makes a board member truly effective?



Real Challenges

What's one challenge you've faced or observed in a boardroom?



One Final Question

If we want this board to be future-ready, what's one thing we should do differently?

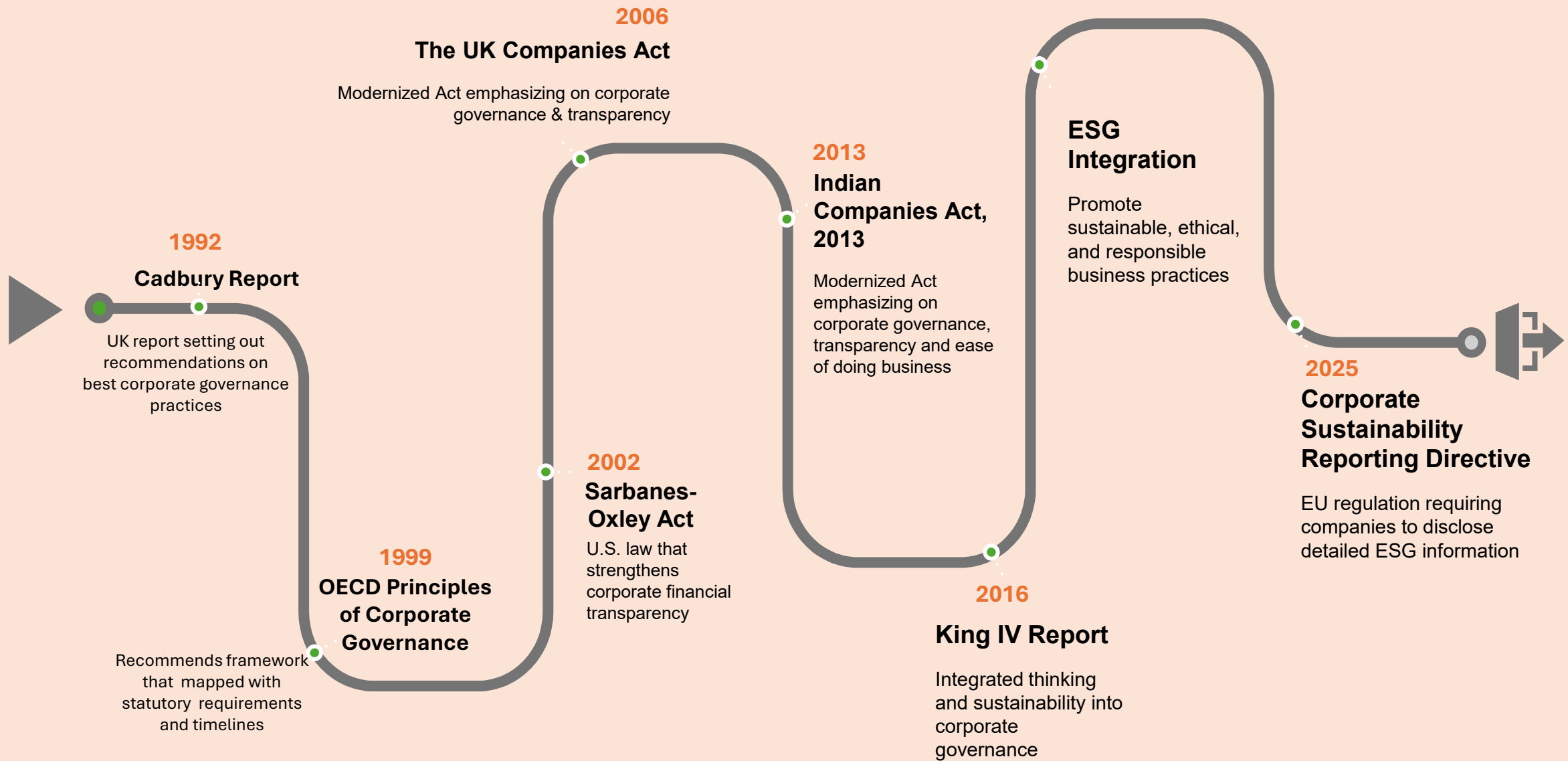
Welcome to the Journey of Board Excellence

Embark on a journey to understand what makes an exceptional Board of Directors, the strategic leaders who guide corporations towards sustainable success and stakeholder value.



The Origin of Board Governance

Board governance evolved globally as a formal system to ensure accountability, strategic oversight, and stakeholder protection in organizations, emerging from early corporate and institutional practices across Europe, UK, India and beyond.



Recent Boardroom Demographics & Governance Trends.

53%

Non-Executive Directors

21% - executive directors;
53% - Non-Executive directors;
20% of NED - Independent directors

64y

Age of Directors

Developed markets – 62 to 66 years
Emerging markets - 55–58 years.

21%

Diversity & Inclusion

Women hold 30% of Board positions, 27% of CSR Committee roles and 14% of Audit Committee roles

83%

Digital Governance

83% of directors consider that including technology will be a key change for 2030 and beyond.

78%

Succession planning

Nearly 78% of corporates recognise succession planning, but a mere 18% have established formal plans

10

Average Board Size

Largest companies by market capitalization - had an average board size of 12 directors, while the smallest had 4-8 directors.

Source : Global Network of Director Institutes Survey Report | 2025 NACD Trends and Priorities Survey | Board Matters: India Board Analytics Report.

1

Understanding the Board of Directors

Duties, Powers, and Composition of the Board

Who is responsible? – Owners/Board/Management

SCENARIO	RESPONSIBILITY	REASONING
Who should decide which person to hire as the new regional sales manager?	Management	This is a day-to-day operational decision..
The nomination committee of the Board proposes a new director. Who actually <i>appoints</i> that person as a director of the company?	Owners / Shareholders	The authority to appoint director's rests with the shareholders, while the nomination committee's role is to propose or recommend candidates.
Who should give final approval to completely change the company's legal name and brand?	Owners / Shareholders	It is a fundamental change affecting its identity, legal documents, and sometimes its strategy.
Who should recommend how much profit is paid out as dividend versus kept in the business?	Board of Directors	The Board of Directors recommends the dividend amount, which is further approved by the owners.
Who is entrusted with safeguarding the interests of all shareholders?	Board of Directors	They are elected by the shareholders to represent the owners collectively

Understanding the Board of Directors

01. What is a Board?

A Board of Directors is a group of individuals elected by shareholders to oversee company management, set strategic direction, and protect stakeholder interests.



02. Who Appoints Them?

Board members are typically elected by shareholders at annual meetings, though initial directors may be appointed by company founders or existing board members.



03. Board Composition

Board includes mix of Executive, Non- Executive or Independent Directors. They may also include nominee directors or employee represented directors.



04. Committee Structure

Specialized committees handle audit, compensation, nomination, and governance functions



Duties of Directors

Fiduciary Duty

Directors must act in good faith to promote the company's objects for the benefit of its members.

Generating value for stakeholder

Promote the long-term sustainable success of the company.

Disclosure of Conflict

A director shall not involve in a situation in which he/she may have a direct or indirect interest that conflicts.

Confidentiality

Must maintain confidentiality regarding the company information obtained as directors.

Strategic Oversight

Contribute in the short to long term vision and take decisions on financial and non-financial parameters impacting the organization

Group Company Governance

Establish and review policies, code of conduct, standard operating procedures, transparency in group operations

Not to assign their office to another

A director cannot transfer their role or responsibilities to another person.

Financial and Operational Oversight

Review of budgets, forecasts, key performance indicators, ensure financial transparency

Compliance in Action

Integrity & Conflict Transparency

Disclosure of interests, Independence
and Non-disqualification

Financial Records & Reporting Discipline

Books of Accounts, accuracy &
transparency and timely disclosures

Governance Records & Statutory Registers

Register of Members, Directors,
investments, KMP, ownership and
transparency



Board & Shareholder Decision Governance

Board Meetings, Committee Meetings,
AGM & EGM and Resolutions

Director Identity & Regulatory Hygiene

KYCs, eligibility monitoring

Exception & Urgency Approval

Resolution through Circulation,
Emergency approvals

Authority and Powers of the Board

Typically, in many jurisdictions the applicable regulations provides that there are certain power to the Directors which can be exercised by them for performing day-to-day activities and for overall management of the Company

Key Powers



1

To do acts/things on behalf of Company except matters reserved for shareholder

2

To supervise the acts of committees of the board

3

To inspect the Books of Account, Financial Statement, Registers etc.

4

To deliberate on the matters placed for approval in the Board meeting

5

To participate and vote at the Board meeting

Powers of the Board to be exercised at a Board Meeting

Certain decisions of the Director need to be undertaken only at a Board Meeting for the decisions to be valid

Key Decisions	
	1 To issue securities {UK Companies Act 2006}
	2 To borrow monies
	3 To invest funds of the Company {UK Companies Act 2006}
	4 To grant loans or give guarantee or provide any security in respect of loans
	5 To approve the financial statements and the Board's report {SEC & NYSE rules, USA}
	6 To diversify the business of the Company {UK Companies Act 2006}
	7 To approve amalgamation, merger or reconstruction {EU Corp Gov Code}
	8 To appoint or remove Key Managerial Personnel
	9 To appoint internal auditors or secretarial auditors

A director sits on the board of two competing companies. What is the most relevant duty in this context?



A) Duty to participate and vote in every meeting

B) Duty to inspect financial statements regularly

C) Duty to disclose any direct or indirect conflict of interest

D) Duty to approve all group policies

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**The Boardroom Seat : Who qualifies
and who exits.**

A. Who Gets a Seat at the Board?

Categories of Directors

Executive vs Non-Executive Directors

Executive Director

Full-time employment

Typically hold key leadership roles such as Managing Director with direct accountability for corporate performance.

Full-time executives to bridge governance and management within the organization.

Involved in strategic planning, operational oversight and corporate governance.

Remunerated through salary, commission and other perquisites.

&

Non-Executive Director

Not in full-time employment

Bring independent judgment and external perspective to the board.

Pivotal in safeguarding stakeholders' interests and ensuring governance integrity.

Serve on board committees, contributing to audit, risk & governance matters.

Role is part-time and advisory & compensated through director fees.

Other Categories of Board across Globe

Independent Directors

- Not related to promoters or the management.
- Lead IDs
- Ensures fairness and protects the interest of minority shareholders.



State/Lender Nominated Director

- Appointed by a stakeholder (e.g., bank, investor, or government)
- Represents the interests of the nominating party



Employee Representative

- Embedded in governance in countries like Germany, Austria, Slovenia etc.
- It represent the workforce interest



Woman Director

- Required by law in many countries on Listed company or Large public interest entities.
- Promotes gender diversity and inclusive governance



BOARD COMPOSITION



Minimum number of directors

- Privately held company must have at least **two** directors
- Law on Enterprises requires a Board of Directors of **minimum 3 members** in joint-stock companies;



Maximum number of directors

Common size for large companies: 8–12 directors.



Resident directors

India - At least **1** director who has stayed in India for a minimum period of **182 days** during FY
Australia, Ireland, Japan, Taiwan etc. – At least 1 director with representation rights.



Independent directors

The proportion generally ranges from about **one-third** in countries like **Singapore, Vietnam and India** to a **majority** of the board in countries like **the US and UK**.



Nominee directors

In companies with significant investors or state ownership, these commonly **hold 1–3 seats on the board**.

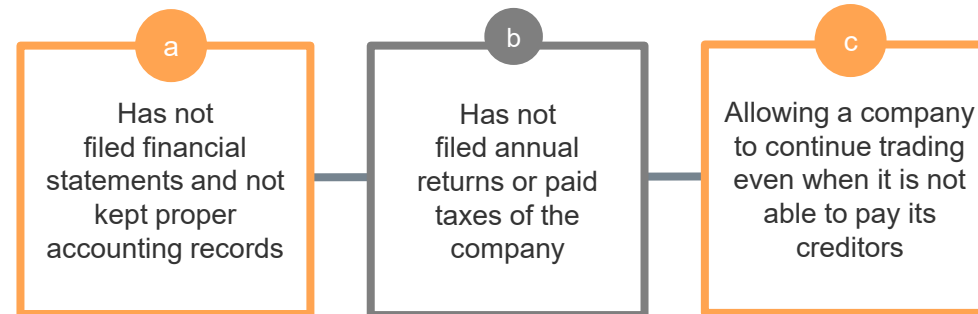
B. Who doesn't get a seat at Board?
Common Disqualifications from the Board

Disqualification of Directors

A person shall not be eligible for appointment as director of a company, if:



No person shall be eligible for re-appointment, who is director of another company which



c. When Does a Director Lose Their Seat?

Vacation of Office

Vacation of Office

“Vacation of office” means the director’s position automatically becomes vacant when specific legal, regulatory, or bylaw conditions are triggered, without any separate removal action.

Persistent non-attendance at board meetings



Breach of conflict-of-interest or independence requirements



Becomes disqualified by an order of a court



Acts in contravention in relation to entering into any contracts or agreements in which he is interested



Criminal conviction of specified offences



Incurs any of the disqualifications



A director is absent from all Board meetings for 12 months. Which condition allows them to retain their position?



A) Absence due to illness with medical certificate

B) Absence was due to preoccupancy

C) Absence was with Board approval

D) None – Vacation is automatic

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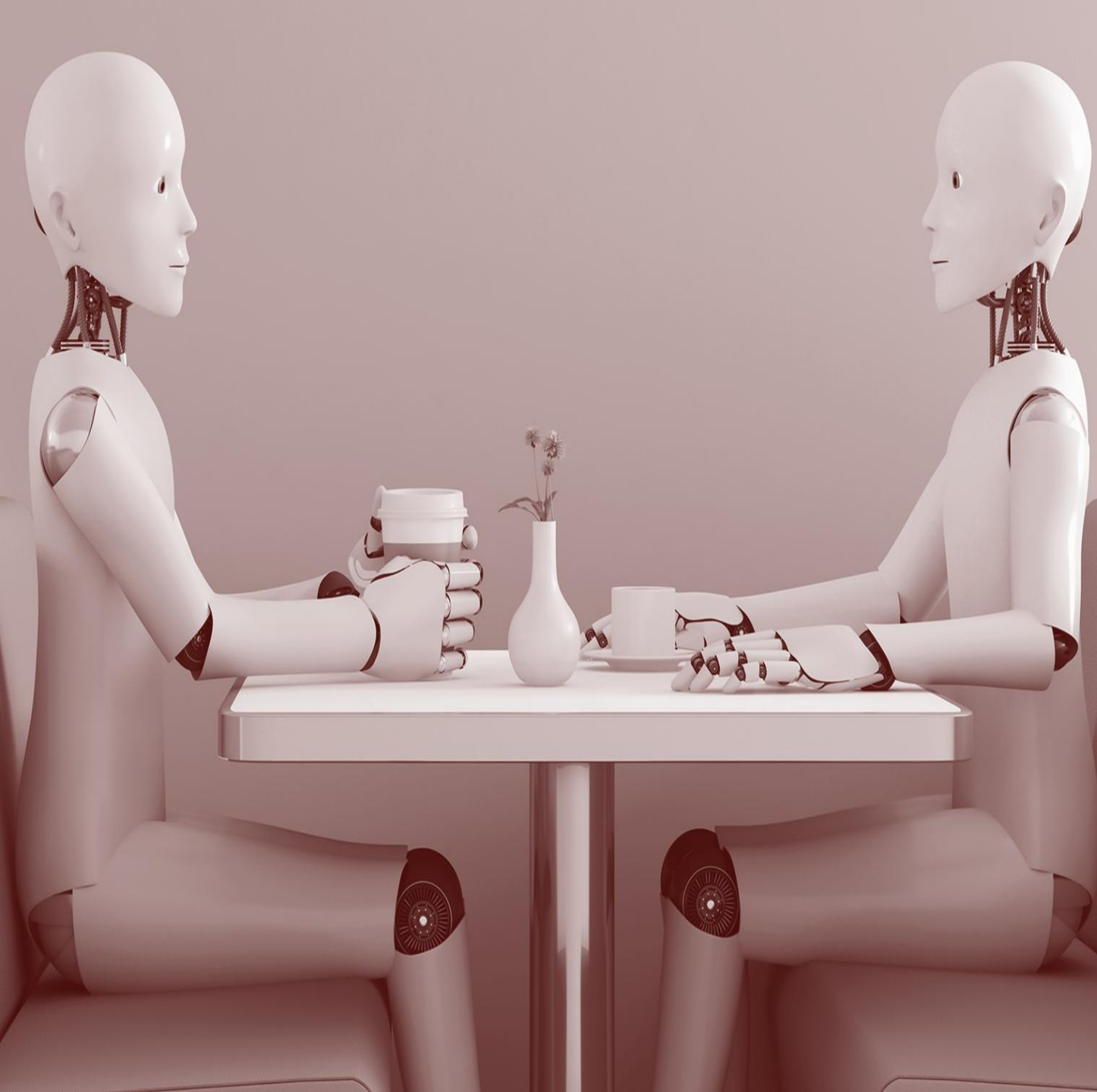
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The 21st-Century Boardroom

New Faces, New Roles, New Rules



“How many of you are comfortable using video calls, digital documents, e-signatures?”

From Formality to Flexibility, the world now Steps Into the Era of “Modern Boardrooms”.

Modern boardrooms epitomise the shift from ritualistic oversight to incisive, value-oriented stewardship.

Understanding the Modern Boardroom

Concept

Modern boardroom refers to the current environment and practices of boards of directors, characterized by a shift from traditional oversight roles to a more dynamic, strategic and technology-enabled approach.

Salient Features

Diversity and Inclusion: Varied backgrounds, skills and perspectives.

Digital Transformation: Use of technology such as virtual meetings, secure board portals & real-time data.

Strategic Risk Management and ESG Focus.

Transparency and Accountability

Traditional vs. Modern Boardroom

Unlike traditional boards that were less diverse and mainly focused on compliance, modern boardrooms are inclusive, tech-savvy and involved in broader company strategy and stakeholders' interests.

Reinventing Governance in the Digital Era

The modern boardroom is a digitally connected, data-driven hub where directors collaborate securely in real time to oversee strategy, risk, and performance. Leading organizations are embracing digital board portals, real-time analytics dashboards, and secure collaboration platforms. These technologies enhance information security, streamline document distribution, and enable data-driven decision-making.



Evolving Dynamics of the Modern Boardroom

Dashboards summarise financials, risk, and compliance to sharpen Board supervision.



Workflow tools show what the Board may approve and what needs shareholder/committee nods.



E-signatures and online voting speed up Board resolutions with clear audit trails.



Digital logs track director participation and flag long gaps automatically.



Enhanced security protocols protect sensitive corporate information.

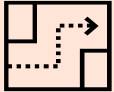


Minutes and papers are stored securely online, making retrieval and regulatory review easier.



Director's Disclosures in Annual Report of the Company

Directors in their Annual report which is to be adopted at the AGM every year need to provide a statement on the below:



01

Sufficient care has been taken for maintenance of accounting records for safeguarding the assets of the Company.



02

Accounts are prepared on a going concern basis



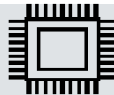
03

Report on Remuneration Policy and Practises



04

Accounting policies are applied consistently and estimates made thereon are reasonable giving a true and fair view of the state of affairs



05

As per Singapore CG Code, The induction, training and development provided to new and existing directors.



06

Key areas of focus in relation to the management of stakeholder relationships.



07

As per UK CG Code, The board should carry out a robust assessment of the company's emerging and principal risks.



08

Discussion on strategy with the Management

Modern governance frameworks emphasize which principle more than traditional ones?



A) Shareholder loyalty

B) Integrated risk governance including ESG

C) Operational delegation to executives

D) Narrow financial reporting

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When Things Go Wrong – Boardroom Failures

Liabilities of Directors

Overview of Directors' Liabilities and Exposure

DID YOU KNOW?

DID YOU KNOW?

Are Executive and non- executive directors equally liable?

The Legislations provides immunity to Non-Executive Directors (Non-promoters and Non-KMP) where the violation occurs without their knowledge, consent, connivance and where due diligence had been exercised on their part.



Does liability extinguish after resignation?

An erstwhile director may still continue to be liable for any defaults that took place during his or her tenure



Liabilities of Directors



Introduction

Directors are responsible for managing a company lawfully and ethically. They may be held liable for negligence, breach of duty or non-compliance.

Civil: For breach of duties or negligence causing loss.

Criminal: For offences like fraud or misstatements—may lead to fines or imprisonment.

Personal: In cases like fraud or tax defaults, directors may be personally liable.



Types of Liabilities



Consequences

Punishment may include fine, imprisonment or **both**, depending on the offence.

Director may **vacate** office on certain defaults.

Officers in default, including directors are also liable and not only the company.

Liabilities-Mitigating Measures

Indemnity

- Company cannot indemnify; it can insure the financial implications for the acts of the director.

Limitation of Liability

- Limitation of liability depends upon the nature of default and the applicable Act or legislature

Extent

- The liability may arise merely by holding position as board member.

Shareholder Ratification

- Shareholders can sanction certain voidable acts where director lacked authority.

Adjudication

For offence punishable with penalty
Issuance of Show cause Notice
Personal hearing on the matter involved

Compounding

For offences punishable with fine **or** imprisonment

Non compoundable

For offences punishable with fine **and** imprisonment

Civil and Regulatory Settlements

Agencies like the SEC, EPA, FTC, and OSHA often settle alleged violations through consent orders, civil penalty agreements, and undertakings.

**Which type of offence
is Compoundable?**



A) Penalty

B) Fine and imprisonment

C) Imprisonment

D) Fine or imprisonment

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A) Penalty

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5

Directors and KMP

Officer In Default and D&O Insurance



Understanding Key Managerial Personnel (KMP)

What is KMP/Responsible person/Sr. Management?

Key Managerial Personnel refers to the individuals one level below board who play a crucial role in the overall functioning and decision-making of a company.

Key Positions (Globally)

- Chief Executive Officers
- Chief Financial Officer
- Company Secretary
- Executive Officer (USA)
- Persons Discharging Managerial Responsibilities (EU)
- Responsible Person (OECD)
- Key Executive (Singapore)

Prescribed roles (Globally)

- Planning, directing and controlling activities
- Individual with significant influence over company operations
- Accountable for governance risk and compliances

Relevant Regulations

- Companies Act 2013
- AASB 124 (Australia)
- SEC Rules (USA)
- UK Corporate Governance Code
- Market Abuse Regulations (EU)



Accountability Under the Law : Who Is Deemed an '*Officer in Default*'?

Definition

Officer who is in default refers to an officer of the company who is in default shall be liable to any penalty or punishment by way of imprisonment, fine or otherwise.

Significance & Implications

These individuals can be held personally liable for penalties or prosecution for company's defaults.

Who Can Be Considered an Officer in Default?

- Whole-time director.
- Key Managerial Personnel
- Any person under Board/KMP's authority responsible for accounts, who authorizes, participates in permits or fails to prevent any default.
- Any person on whose instructions Board acts
- Any director aware of a contravention or who consented in the contravention.



D&O Insurance : *Are you personally at Risk?*

Requirement

It is an insurance policy that provides protection to the directors and other officers/executives of a company from financial implications in case of any wrongful acts

Coverage

- Former, present or future Board members
- Key Managerial Personnel's
- Managerial Employees
- Officers and Executives

Benefits

- Enhances company's ability to attract and retain talented executives
- Promotes good corporate governance and encourage company directors to perform their duties more diligently
- Protects the directors and company from high litigation costs, claims and other unprecedented financial implications

Which of the following persons is/are NOT considered as Key Managerial Personnel (KMP)?



A) Chief Financial Officer (CFO)

B) Chief Executive Officer (CEO)

C) Chief Operating Officer (COO)

D) Chief Risk Officer (CRO)

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Which one of the following does NOT lead to the disqualification of a director under the Companies Act?



A) An order disqualifying him for appointment as a director has been passed by a court

B) He is an undischarged insolvent

C) He has been convicted of an offence dealing with related party transactions

D) He has not disclosed his/her interest in other entities & body corporates

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Case Study: **Emissions Compliance Failure**

Case Study- Emissions Compliance Faliure

Background	What went wrong	Findings
• 2013 – Discovery of Irregularities: An Independent Research Body commissioned a University Research Center specializing in Alternative Fuels & Emissions testing to conduct real-world emissions testing on diesel vehicles sold in the major consumer market. Researchers found that found nearly 2/3 of tested vehicles - manufactured by a large global automotive company , emitted significantly higher levels of nitrogen oxides (NOx) than permitted. • 2015 – Regulatory Action and Fallout: The Environmental Protection Regulator revealed that that the Company had violated the Air quality regulations by equipping its diesel vehicles with illegal software designed to manipulate emissions tests results.	• Cultural Issues: The Company’s internal culture emphasized aggressive sales targets and cost-cutting, creating an environment where compliance and ethical considerations were deprioritized. • Lack of Ethical Leadership: Top executives, including the CEO, were implicated in ignoring or tacitly endorsing misconduct. Their failure to uphold ethical standards enabled deceptive practices to persist unchecked for several years. • Inadequate Governance Mechanisms: The absence of accountability, independent governance mechanisms allowed senior leadership to dominate decision-making processes.	• Leadership Shakeup: the Company’s Group CEO resigned amid the scandal and charged with fraud and conspiracy. Several other senior executives were suspended. • Initial Financial Commitments: The Company announced it would allocate significant amount to address the regulatory penalties, remediation costs and settlements relating to civil claims in the affected market. • Total Cost of the Scandal: The total financial impact of this case reached several billions of dollars. Legal actions were pursued across multiple jurisdictions.

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